SAVING

“Akiba haiozi”

Spend less than you earn

Develop a culture of saving

Consuming everything today endangers the future

Emergencies and Savings

Money will never be enough, start saving, now!

Prepared by Sylvester

Lesson Outcome

By the end of the learning session, learners will be able to:

- Defined savings
- Described and categorized purposes of savings
- Explain saving difficulties and how to overcome them
- Set short- and long-term savings goals
- Rank the importance of savings goals
- Developed a savings plan for the family
- Determine the capacity to save
- Identify actions to take to increase saving
- Save for emergencies
- Compare saving services and choose the best alternative product
- Describe impact of technology on saving

Challenge

Have you ever thought of saving money?

Have you ever saved any money?

Where did you save the money?

How much had you saved and for how long?

Did any circumstance (emergency) arise that drained all the savings?

Was the emergency avoidable or unavoidable?

Is emergency a subset of saving or saving is a subset of emergency?

So what is saving?

Definition of saving

Saving is the practice of putting aside the current earnings or accumulation of resources for future use

Many a times, it has been said that saving is the difference between disposable income and expenditure. I find this not only a disparaging but also a misleading definition because one is likely to spend entire income and claim that there is nothing left to save.

Saving may take the form of bank deposits, purchase of an asset, or accumulation of cash holding. In our investment lesson, we had agreed that accumulating cash holding is very unsafe because money losses value over time.

Saving is very important as it relates to investment. There must be individuals willing to invest the saving thus economic growth.

Pay yourself first

According to the definition of saving we have disagreed with in the previous slide, it is important to note that developing a saving culture requires that you reward or pay yourself.

“Pay yourself first” means putting aside a portion of any of your income into a saving account. This is done by including saving as one of the expenses. This principle can assist you save easily without struggling. We had discussed this during the budgeting stage.

Simply, let saving be the first item in your list of expenditure.

Is it possible that a student can save money from HELB inform of upkeep? (do you remember there is life after campus?)

Reasons for saving

- Weddings 
- Valentine day
- Childbirth
- Education 
- Holidays/Festive season 
- Invest in business 
- Asset acquisition (House, Bikes, Motorcycle, Motor vehicle, Land 
- Pay for basic items during the period of low income  

- Old age
- Sickness 
- Christmas money 
- Emergencies
- Home ownership 
- Gifts 
- Luxury items 

Funerals 

(*continued*) Reasons for saving

The following are different categories of saving by reasons:

Unexpected Future Events	**Unavoidable Expected Future Events**	**Avoidable Expected Future Events**	**Assets Acquisition**
▪ Sickness ▪ Funerals ▪ Emergencies ▪ Theft	▪ Weddings ▪ Education ▪ Childbirth ▪ Old age ▪ Low-income season ▪ Home ownership (nani hana kwao)	▪ Vacation ▪ Luxury items ▪ Gifts ▪ Holidays/Festivals ▪ Valentine ▪ “Outings”	▪ Rentals ▪ Bicycle ▪ Motorcycle ▪ Car ▪ Business ▪ Land

(*continued*) Reasons for saving

In a summary:

Every individual or family has different reasons to save. Saving helps us to protect against future unexpected events, plan for future anticipated events and build assets. It also permits us to enjoy the pleasures of life.

But despite the obvious benefits of saving, many people do not do it. Why?

Difficulties of saving and possible remedies

The following are explanation why people do not save:

S. N	Difficulty/Barrier	Explanation	Solution (Mitigations)
1	Money mismanagement	Financial mistakes like overspending eliminate saving	Prepare monthly or periodic budget to control spending
2	Inflation	Increase in cost of living especially on basic commodities limit saving	Reduce expenditure in some items to get money to save
3	Financial ignorance	Financial illiteracy where people do understand how to budget or save with likelihood of overspending	Attend financial literacy trainings so to make sound and rationale financial decisions which lead to savings
4	Accumulated debts	Cycle of debts eliminate savings. Existing debts make situation worse because income earned go to debts then you borrow more to finance your expenses	Avoid unnecessary borrowing so that income earned can be apportioned to saving
5	Procrastination	Saving is challenging is you keep postponing to act	Saving is a habit, you must develop the discipline to do it consistently every time your earn money
6	Myopic attitude	People fail to save because they are waiting for colossal sum of money in the future which never materialize because expense increases over time	Begin by saving small amount of money earned. The Kiswahili saying “haba na haba hujaza kibaba” (the cumulative small monies fills the bucket) can assist in saving
7	Lack of a budget	Without financial plan it is not easy to save because you wont be able to track your expenditure	Budget allows you to track your spending, cut on unnecessary spending then save

Difficulties of saving and possible remedies

The following are explanation why people do not save:

S. N	Difficulty/Barrier	Explanation	Solution (Mitigations)
8	Living beyond your means	When expenses exceeds your income, you cannot save. Some even operate credit cards as cash	Have a spending limit via your budget to allow you to save
9	Earning little money	If your income just covers your basic needs then you cannot save	Seek for a side hustle or a higher paying job so that you are left with money to save
10	Saving is not a priority	People say “live today” which means they do not care about tomorrow or thinking you are too young to save	Treat saving as one of your expenses and keep the money in the right place away from you
11	Lack of saving goal	People are not saving because they lack objectives to be achieved if they save, they have no reason to do so	Have a goal to achieve e.g. saving for education, emergencies etc and always track the saving to ensure right progress
12	Lack of emergency fund	Unexpected expenses like funerals are inevitable. If you are not prepared for them you wont save	Set up an emergency fund so that when unforeseen circumstance arise, you do not use up all your savings
13	Unnecessary subscriptions	Subscriptions are only valuable if you use them. You may have subscribed for TV channels not watched	Cancel all subscriptions which you do not use and save the money from the cancelled subscriptions
14	Impulse buying	Spending on items not planned for may reduce saving	Think first before purchasing anything, avoid carrying too much cash so that you save such monies
15	You aren’t paying yourself	You are not saving because it is missing in expenses	Prioritize saving as the first expense, that is your real money

Dangers of not saving

The long term effect of not saving include the following vices:

SN	Broad effect	The sub-effects	Explanation
A	Financial Strain & Instability	1. Vulnerability to emergencies	Without savings, future expenses may lead you into debt. You'll be forced to borrow to pay for education, medical bills. We are forced to do fund raising
		2. Limited access to opportunities	Lack of saving limit your ability to invest in business or education.
		3. Retirement insecurity	Lack of financial planning and saving for old age increases dependencies on others (children have to look after their parents and at the same time their families, this constrains the working class). Secondly, money from government social security fund (pesa ya wazee) may not befit your desired lifestyle at old age
		4. Dependence on others	Lack of saving at any age will mean overdependence on your family or friends yet they may not provide for you every day
		5. Inability to achieve financial goals	Without saving it will be difficult to educate your children, own a home, own a car, go for a vacation, enjoy Christmas holiday among many other things
B	Physical & mental health	1. Increased stress & anxiety	Financial insecurity may mean you are ever worrying on making ends meet and covering unexpected unavoidable events. This leads to stress which will create sleep disorders, anxiety and eventual depression or even madness!
		2. Lower quality of life	You are likely to feel frustrated in the future if you did not save to provide for yourself, family needs especially a healthy diet
		3. Low self esteem	Lack of saving may mean dissatisfaction with life as you cannot fit into the life lived by your friends in the future

Saving as a proportion of income

To ensure saving, the following budgeting rules containing percentage of income can be applied:

1. 50:30:20 rule (created by U.S. Senator Elizabeth Warren in her 2006 book All Your Worth: The Ultimate Lifetime Money Plan): where 50% on needs (food, rent, transport, utilities), 30% on wants (airtime, data bundles, restaurant, entertainment, vocations), and 20% on saving (emergency fund, rental property, bank deposits, retirement savings)

   However, many individuals may find that 50% of their income just isn't enough to cover all necessary expenses. The 60/30/10 or 60/20/20 or 70/20/10 budgeting methods are a flexible alternative to the traditional 50/30/20 rule in today's inflated economy as outlined below:

2. 60:30:10 rule: where 60% on essential expenses, such as gas, utilities, groceries and rent, 30% on discretionary spending, such as shopping or dining out, 10% is either put in savings or repaying rent. Others may prefer 60:20:20 depending on needs
3. 70:20:10 rule (spend, save, invest): where 70% as monthly expense, 20% on saving, 10% on investment
4. Dave Ramsey's budgeting percentages: Giving (charitable gifts) 10%, Saving 10-15%, Food 10-15%, Utilities 5-15%, Housing 25%, Transport 10%, Health 5-10%, Insurance 10-25%, Recreation 5-10%, Personal spending 5-10%, Miscellaneous 5-10%

However much the above rules hold true, saving differs by age and income. Older people may want save more of their income than young people, also, according to Keynesian economic theory the marginal propensity to save (MPS) increases as income increase. MPS = $\Delta S/\Delta Y$

Saving benchmarks by age

Saving as a multiple of income ensures that you will hit a target with time as demonstrated in the Table below:

Age bracket	Proportion of income	Salary	Savings	SACCO returns (10% less 5% WHT)
At age 30	5 times of your basic salary	30,000	150,000	14,250
At age 35	10 times of your basic salary	80,000	800,000	76,000
At age 40	15 times of your basic salary	100,000	1,500,000	142,500
At age 45	20 times of your basic salary	120,000	2,400,000	228,000
At age 50	25 times of your basic salary	140,000	3,500,000	332,500
At age 55	30 times of your basic salary	160,000	4,800,000	456,000
At age 60	35 times of your basic salary	180,000	6,300,000	598,500
At age 65	40 times of your basic salary	200,000	8,000,000	760,000

Setting saving goals

We have discussed the reasons why people save thus it is important that one is capable of setting saving goals to drive the process:

Savings goals can be short-term, medium term or long-term.

Category	Time span	Explanation	Example of goals
Short term	Within one year	When saving for a short-term goal, keep your money as liquid as possible so you can easily access it e.g. bank deposits	Emergency fund, purchasing TV/woofer
Medium term	1-5 Years	Since money will be required in some near future time, you can put money in it mutual funds, t-bills (less risky but low returns)	Planning for a wedding, Graduation ceremony, diversified portfolio
Long term	More than 5 years	Since you won't need the money for a long-term goal until years in the future, you can usually invest it in less liquid options, including the real estate or stock market (high risk but high returns)	Saving for retirement Saving for home ownership

Remember, it's not about how much you earn but how well you manage and allocate your resources that could lead to a successful savings goal. And keep in mind that the best saving strategy is the one that works best for you.

Setting saving goals by age

Your financial goals will likely vary based on your age, and you can also adjust them over time. For instance, long term goal to save for retirement will be short term as you approach the retirement.

Financial goals for age 20-30 (20s)

- Establishing financial independence from your parents.
- Paying down student debt e.g. HELB
- Starting to save for retirement so compound interest can add up over time
- Building a good credit score so that you can borrow loan for investment
- Setting up an emergency fund
- Getting married at 25 - 30
- Maternity bills (26 ladies, 28 men)
- Purchasing household items (bed …)

Financial goals for age 30-40 (30s)

- Investment
- Paying dowry
- Buying a car
- Personal saving fund
- Marriage
- Wedding
- Building a portfolio
- Children's high school fees

Financial goals for age 40-50 (40s)

- Insurance
- Home ownership
- Children's college fee
- Investment
- Retirement fund (pension)

Financial goals for age 50-60 (50s)

- Sustainable investment
- Retirement fund
- Insurance
- Hitting saving targets

It is prudent that you rank your financial goals in order of importance then save

Saving goals and saving planner

Saving Goal	Sum	When?	Saving/month	Rank by importance
Short term goal				
Christmas vacation	60,000	In 1 year	5000 p.m.	
TV & Woofer	100,000	In 1 year	8333.33 p.m.	
Medium term goal				
Emergency fund	150,000	In 4 years	3,125 p.m.	
Graduation fund	80,000	In 3 years	2,222.22 p.m.	
Long term goal				
University fee	1,600,000	In 15 years	8,888.89 p.m.	
Retirement fund	6,000,000	In 30 years	16,666.67 p.m.	
Total savings	**7,990,000**		**44,236.11 p.m**.	

Saving Plan

When developing a saving plan, we must ask ourselves the following:

- How much will it cost to reach this goal?
- When do you need the money?
- How much will you need to save every week or month or year?
- Which goal is most important, next in importance, and so on?
- How difficult is it to set your own savings goals and priorities? Why?

To get answer to these questions, we need to consider the following

- Decide what you want to save for and find out how much it will cost – whether it is buying a house, land, starting/improving a business, studying or saving for your child's school fees, etc.
- Ensure that what you are saving for is realistic and not over-ambitious.
- Start saving now – the sooner you start, the sooner you'll get there.
- Put your savings in a safe and secure place where you earn good interest.
- Keep saving regularly and over a long period of time. It's only then that your money can accumulate.

Increasing the savings

The following measures can be taken to increase your savings:

a) Avoid paying through mobile phone if every transaction carry costs
b) Try as much as possible to move away from debt cycle trap
c) Buy items when in offer and save the discounts e.g. Magunas supermarket always has trade discounts on Saturday and Sunday
d) Reduce frequent travelling unless it is necessary
e) Purchase items in bulk when price decreases unless it is perishable
f) Save any income earned and was not planned for
g) Diversify your portfolio, if selling shoes, also sell crocs, slippers, laces
h) Reduce the number of parties and save instead
i) Talk to people who save or saved and benchmark with them
j) Open a saving account and be financially discipline
k) Agree with your family members on the necessity of saving and save

Saving for emergencies

In order to save for emergencies, you may take the following steps:

- List emergencies and their consequences: the magnitude of the emergency and the severity of immediate costs to your income
- Estimate the amount of money needed for emergencies: Set aside at least 3 times your current average monthly income for emergencies
- Maintain the emergency fund in the following ways:
  - When you use the fund, replace the money as soon as possible. (*this is where people fail*)
  - Decide the amount to contribute periodically to the emergency fund and stick to the plan
- Include emergencies in the savings goals so that when it arise, the other savings are not consumed up
- Save for special events: birthday, wedding, holiday; as you be tempted to use your emergency fund for such luxuries even though you have a right to your money
- Note: with saving for emergency, you can avoid costly borrowing (loans) and also be able to achieve other saving goals like medical insurance, education

Factors influencing saving ability

There are factors within our control (internal) and beyond our control (external) that influence our ability to save:

Internal Factors	External factors
1. Saving plan	1. Places to keep saving (safe and convenient)
2. Financial discipline	2. Family issues & support
3. Motivation to meet the financial goals	3. Returns on money saved (e.g. interests receivable)
4. Temptation to spend on luxury items	4. Amount of allowable deposits
5. Willingness to reduce unnecessary expenses	5. Economic fluctuations
6. Ability to diversify portfolio	6. Government policies and legislations
7. Financial literacy	7. Poverty index
8. Income levels	8. Risks associated with various saving methods

Strands of saving (methods or vehicles for saving)

Saving can be categorized into the following forms

SN	Strand	Definition	Type of institution
1.	Formal	A formal savings institution is regulated by a government agency to ensure the safety of savings. Usually, formal savings services pay interest on savings. And some institutions insure savings. That is, if the institution loses your money, the government will reimburse you for your losses up to a certain amount	Banks, Building Societies, Insurance Companies, Credit institutions, Deposit-taking Microfinance Institutions (MFIs) regulated by CBK and operate within the stipulations of the Act
2.	Semi-formal	Semi-formal savings institutions offer organized services but are not supervised or regulated by the Central Bank. The also pay interest on savings	Savings and Credit Cooperative Organizations (SACCOs), credit-only MFIs, Government Institutions, M-PESA, Equitel, Bank Mobicash
3.	Informal	An informal savings vehicle is one that does not have oversight from a government agency. The members of the group or the individual manage the savings. You may keep your savings in cash, or in kind like livestock.	Groups like Village savings and credit associations (Chamas), solidarity groups, self-help groups, group of friends, At home (in cash) In kind (gold, livestock, land, etc.)

Advantages and disadvantages of various methods

Savings Service	Advantages	Disadvantages	Risk Rating
Formal Commercial Banks, Building Societies, Insurance Companies, Credit institutions, Deposit-taking Microfinance Institutions (MFIs) regulated by CBK and operate within the stipulations of the Act	❑ Safest option as they are supervised by the Central Bank and deposits are protected under the deposit protection fund ❑ Less temptation to withdraw and spend ❑ May earn interest ❑ Access to wider range of savings products (fixed deposit, current account, etc.) ❑ Helps to manage money ❑ Can save time on bill payments as you can	❑ Low remuneration ❑ Minimum deposit required to open account may be a barrier ❑ May charge fees ❑ Sometimes long queues and delays inside the bank ❑ Can be confusing ❑ Less accessible to the poor and those who cannot read and write.	Low risk

Advantages and disadvantages of various methods

Savings Service	Advantages	Disadvantages	Risk Rating
Semi-Formal Savings and Credit Cooperative Organizations (SACCOs), credit-only MFIs (MFIs) (Hire Purchase Act), Government Institutions, M-PESA	❑ Easy access ❑ Savings often linked to credit ❑ May earn dividends ❑ Group rules frequency & amount of deposits encourages saving ❑ Discipline	❑ Safety not guaranteed ❑ May or may not earn interest ❑ Risk of mismanagement by leadership due to low supervision	Medium risk
Informal Groups like: - Village savings and credit associations - Solidarity groups, self-help groups (Chamas)	❑ Easy access ❑ For VSLAs: high interest earned on savings ❑ Additional services like welfare, easy access to loan	❑ Safety not guaranteed ❑ Too easy to spend and 'waste' on non-essential items. ❑ Limited access to savings / withdrawals subject to group approval	High risk
Informal In kind (gold, poultry livestock, land, etc.) and Others	❑ Value might increase over time ❑ Must sell to access cash—decreases temptation	❑ Difficult to liquidate in case of emergency ❑ Value might decrease over time ❑ Risk of theft or death	Very high risk in case of cash at home

Factors to consider when choosing a saving service

- ✓Access
- ✓Convenience and ease of use
- ✓Opening deposit requirements
- ✓Safety (risks involved)
- ✓Interest earned on savings
- ✓Terms and conditions
- ✓Regulation by relevant authorities or persons

Saving products

Task: Develop a Table with the saving products using the format in the Table below and compare the best products to save for an employed and unemployed person (an example is provided):

S.N	Institution	Saving product	Terms & Conditions	Interest rate on saving
1.	Stanbic Bank Link: https://www.stanbicbank.co.ke/kenya/personal/products-and-services/bank-with-us/grow-your-money/puresave-account	PureSave Account	▪ Attractive interest rates paid for balances above Kes. 5,000 ▪ One free cash withdrawal allowed per month (over the counter) ▪ Free internet access to your savings accounts ▪ Free funds transfers from M-Pesa to your savings account ▪ Personal loan of up to 80% of your savings amount ▪ Pre-approved advances of up to 80% of your saving balances ▪ Access to our transactional accounts with a link to the PureSave Account with free inter-accounts standing orders ▪ No monthly fees charged ▪ Interest calculated daily and paid monthly ▪ Interest earned will be paid on the 1st day of the subsequent month	Up To 14% Interest On Savings

Saving vs Investment

Group work: In a group of ten persons, working virtually or physically whichever is more convenient, tackle the following task and type your work. Share the output with the course coordinators for moderation then post it in the class WhatsApp or such other communication group for other groups to critique your work.

Task: Describe at least five differences between saving, investment, speculation and gambling

Conclusion

👍Save as much as you can as soon as you can. The more you save, the better off you'll be.

👍 Save as you earn.

👍 Try to save 10% of your income even if you don't have a specific purchase or investment for which you are saving.

👍 Pay yourself first - put 10% of your earnings aside for savings before you do anything else. If you can't afford 10% right away, start with less, but save something.

👍 Calculate how your money can grow over time if you save regularly in an account that earns interest.

👎Don't carry a lot of cash - avoid temptation to spend it!

👍 Spend carefully. If you purchase big items, consider how much you could resell them for. Look for opportunities to save money by bulk buying of non-perishables.

👍 Pay off your debts. Some people recommend paying down your debt before you start to save; others recommend saving even while paying down debt because it is important to begin building assets as soon as possible. This choice will depend on individual priorities, situation, and means. Total household debt should not exceed 36% of household income.

👍 Keep money for living expenses for three to six months in an emergency fund at all times. It can be used in case of job loss, unexpected illness, and to meet other emergency needs. An emergency fund will reduce your anxiety.

👍 Keep emergency funds in a separate account. Open two savings accounts - one for emergencies that is easy to access and doesn't have any penalties for withdrawal, and one for savings for other goals that is harder to access (and therefore less tempting to withdraw the money). Keeping some savings "out of reach" is important.

👍 Find savings products that match your savings goals.

Assignment

I am almost two years into my accounting job and earn a gross salary of Sh.45,000 per month. Out of this, I spend Sh.6,000 on food, Sh.4,150 on HELB loan repayment, Sh.8,800 on a bank loan that I used to take my sister to college, Sh.2,000 goes for the workers union, Sh.2,500 I spend on my insurance saving. My rent is Sh.7,000 and out of the remaining money, I have to support my sister who is in college, and my other family members. **I have completely been unable to save**. I don't even have an asset to show for the work I do. How do I turn this situation around? (*Adopted from Daily Nation of Monday 08th January 2024*)

Required:

❶Identify one crucial deduction/expense missing from the case above given salary

❷Prepare a simple budget from the figures in case, is there deficit or surplus?

❸Explain difficulties he faced in attempt to save and suggest solution in each

❹Justify the dangers of failing to save

❺Suggest ways by which the affected person could cut expenses and save

❻Set the various saving goals and assign the amount in each based on the salary